

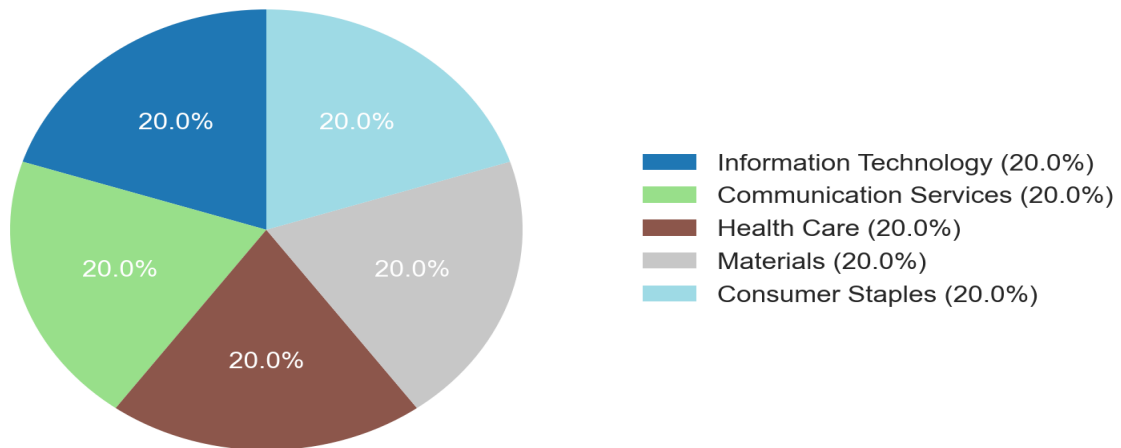
Portfolio rotation report

Date of extraction	2025-12-08 01:06
Data window	2022-01-01 → 2025-10-01
Frequency	Monthly — 46 observations. Sufficient depth: short- and long-term indicators are statistically reliable.
Tickers	BAYN.DE, DTE.DE, HEN3.DE, LIN.DE, SAP.DE
Indicators	Short term: 4 months volatility, 9 months return, 12 months momentum Long term: 10 months volatility, 18 months return, 36 months momentum

1. Portfolio Composition

- SAP.DE (SAP SE — Information Technology)
- DTE.DE (Deutsche Telekom AG — Communication Services)
- BAYN.DE (Bayer AG — Health Care)
- LIN.DE (Linde plc — Materials)
- HEN3.DE (Henkel AG and Co KGaA — Consumer Staples)

Sector Allocation



Macro Profile Insight

Macro coverage

- Partial coverage: several macro themes remain unrepresented.

Sectorial biases

- Concentration risk: strong bias toward large caps, stability achieved at the cost of diversity.

Structural properties

- Concentration risk: portfolio heavily exposed to stock instruments.
- Liquidity stance: pockets of thin/illiquid names; limited median dollar volume.
- Defensive beta tilt: lower systematic risk profile.
- Balanced volatility structure: risk evenly distributed across holdings.

Additional comments

- Significant sector gaps: broad portions of the economy remain uncovered.

2. Sector Performance Visualization



Top Positive Correlations

40.0% of portfolio

Pair	Correlation
LIN.DE / SAP.DE	0.52
DTE.DE / LIN.DE	0.41
DTE.DE / SAP.DE	0.38
DTE.DE / HEN3.DE	0.35

Top Neutral Correlations

60.0% of portfolio

Pair	Correlation
BAYN.DE / SAP.DE	-0.05
BAYN.DE / HEN3.DE	0.06
HEN3.DE / LIN.DE	0.1
BAYN.DE / LIN.DE	0.14
BAYN.DE / DTE.DE	0.16

Overall, average cross-sector correlation was 0.23, ranging from -0.05 to 0.52. This suggests moderate diversification — some co-movement exists but remains limited. Correlation dispersion remains meaningful, indicating both tightly and weakly linked sectors. Strongest co-movement between LIN.DE and SAP.DE (0.52); weakest between BAYN.DE and SAP.DE (-0.05). Mixed regime: both market-wide and sector-specific forces are at play.

3. Key Performance Indicators

Ticker	R (%)	V (%)	RAR	M (%)	Signal	Regime	Liquidity	Commentary
BAYN.DE	2.52	4.31	0.585	0.77	weak reversal	elevated	illiquid	positive performance with solid momentum, early reversal signs, short-term momentum starting to diverge, rising volatility — tension building, under limited liquidity.
DTE.DE	-1.72	4.96	-0.346	-0.04	neutral	subdued	thin	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
HEN3.DE	-1.66	4.68	-0.355	-0.75	weak reversal	subdued	illiquid	weak performance with negative momentum, early reversal signs, short-term momentum starting to diverge, low volatility — calm market tone, under limited liquidity.
LIN.DE	-1.67	5.53	-0.301	-1.04	weak reversal	normal	illiquid	weak performance with negative momentum, early reversal signs, short-term momentum starting to diverge, normal volatility regime, under limited liquidity.
SAP.DE	-1.87	3.14	-0.596	0.45	mildly coherent	normal	illiquid	recovering momentum despite recent losses, signal remains coherent, but with limited conviction, normal volatility regime, under limited liquidity.

Top by Average Return

Ticker	AvgReturn(%)
BAYN.DE	2.52
HEN3.DE	-1.66
LIN.DE	-1.67
DTE.DE	-1.72
SAP.DE	-1.87

Top by Volatility

Ticker	Volatility(%)
LIN.DE	5.53
DTE.DE	4.96
HEN3.DE	4.68
BAYN.DE	4.31
SAP.DE	3.14

Top by Momentum

Ticker	Momentum(%)
BAYN.DE	0.77
SAP.DE	0.45
DTE.DE	-0.04
HEN3.DE	-0.75
LIN.DE	-1.04

3.b Rotation & Stress Metrics

Ticker	ΔReturn (pp)	Momentum Ratio	Signal	Volatility Ratio	Beta	ADV10 USD	Interpretation
BAYN.DE	3.01	-0.59	-0.483	0.92	0.83	4.71 M	strong acceleration in returns, momentum collapsing, volatility normalizing, aligned with market dynamics, under illiquid trading conditions.
DTE.DE	-3.13	-0.03	-0.039	0.68	0.28	5.86 M	sharp deterioration in returns, momentum collapsing, volatility compressing, aligned with market dynamics, under illiquid trading conditions.
HEN3.DE	-1.47	-1.39	-0.314	0.78	0.44	385.4 K	loss of momentum in returns, momentum collapsing, volatility compressing, aligned with market dynamics, under illiquid trading conditions.
LIN.DE	-1.00	-1.45	-0.424	1.13	-0.01	15.7 K	loss of momentum in returns, momentum collapsing, volatility normalizing, aligned with market dynamics, under illiquid trading conditions.
SAP.DE	-3.38	0.12	0.403	0.50	0.81	1.24 M	sharp deterioration in returns, momentum collapsing, volatility compressing, aligned with market dynamics, under illiquid trading conditions.

■ Moderate-impact observations

For **BAYN.DE**: *Stabilization after shock* — volatility normalizes; confirmation still needed. (avg ann. return 2.5%, momentum 0.8%, vol 4.3%)

■ Light-impact observations

For **DTE.DE**, **HEN3.DE**: *Volatility compression* — subdued volatility; a breakout setup may be forming. (avg ann. return -1.7%, momentum -0.4%, vol 4.8%)

For **LIN.DE**, **SAP.DE**: *Range / noise* — no clear direction; rotating momentum and mid-range volatility. (avg ann. return -1.8%, momentum -0.3%, vol 4.3%)